

Robinhood Markets, Inc.

HOOD NASDAQ

Buy

\$104.37 ▼ 0.42%

12M Price Target
\$125.00

52-Week Range
\$63.52 – \$153.86

Market Cap
\$93.84B

HOOD: Morgan Stanley Bullish, Tokenization Push Gets Serious

WHAT HAPPENED

- Morgan Stanley came out bullish on HOOD's expanded product menu (tokenization, futures, prediction markets) — that's the second major sell-side upgrade this week and it's why calls are flying off the shelf even as the stock drifts lower on a weak tape. The Nasdaq is red today because crude oil is spiking (energy up, growth down), so HOOD getting only lightly dinged (-0.42%) while tech sells off is actually relative strength.
- The tokenization narrative is heating up — Zacks flagged HOOD's "Chain and Stock Tokens" as a real growth vector. Translation: HOOD wants to let you trade tokenized versions of private company shares (OpenAI, SpaceX) on-chain, which would be a massive TAM expansion if regulators allow it.

WHY IT MATTERS

The options flow here is screaming — a 0.31 put/call ratio (meaning traders are buying 3x more bullish calls than bearish puts) plus unusual call buying at \$106, \$108, and \$110 strikes tells me somebody thinks this stock is going higher into September. Combine that with an analyst upgrade cycle and the tokenization story, and the setup is that HOOD is consolidating around \$104-105 before a potential move higher. The bigger picture: under the current Trump SEC (Paul Atkins), crypto and tokenization rules are getting rewritten in a friendlier direction — HOOD is positioning itself to be the retail on-ramp for tokenized private equity, which is a category that literally didn't legally exist a year ago. If that pans out, current revenue estimates are way too low.

POLICY & POLITICAL WATCH

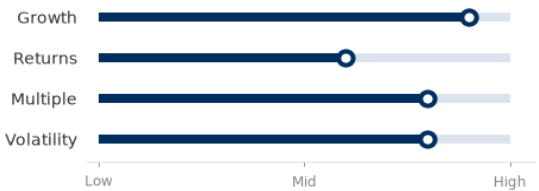
The two policy tailwinds to watch: (1) the CLARITY Act / crypto market structure legislation working through Congress — if it passes, it hands clear jurisdiction over crypto trading to the CFTC (a friendlier regulator than the SEC has been), which directly boosts HOOD's crypto revenue line. (2) The SEC's Project Crypto initiative is exploring letting tokenized securities trade — HOOD is already piloting this in Europe and would be first-mover in the US if approved. The risk on the other side: any state-level AG action against prediction markets (Kalshi-style event contracts) could clip a growing revenue stream, so watch what the New Jersey and Nevada gaming regulators do next.

IS IT EXPENSIVE?

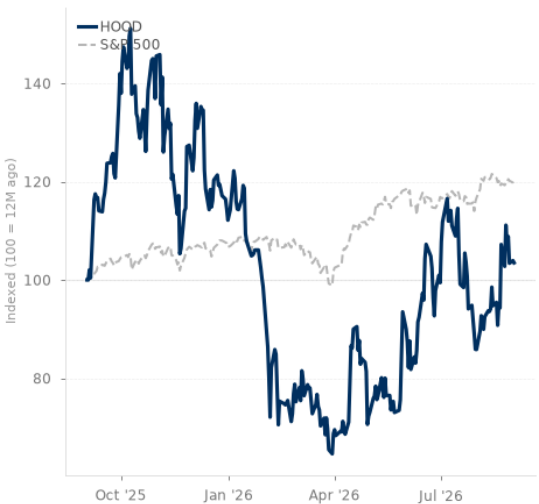
Key Data

Price (USD)	\$104.37
12M Price Target	\$125.00
Upside / (Downside)	+19.8%
Market Cap	\$93.84B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,350M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	56.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$118.00	\$108.00	\$95.00
6 Months	\$140.00	\$120.00	\$85.00
1 Year	\$165.00	\$125.00	\$75.00
2 Years	\$210.00	\$150.00	\$65.00
5 Years	\$320.00	\$200.00	\$55.00
10 Years	\$500.00	\$275.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.7% over 5 days) as crude climbs — likely Middle East supply jitters or OPEC discipline. Defensives (Staples, Healthcare, Utilities) getting bid today as a flight-to-safety trade against a wobbly Nasdaq.

COOLING OFF: Growth/tech broadly is under pressure this week — rising oil = rising inflation fears = higher-for-longer rate expectations, which hurts high-multiple stocks like HOOD.

ROTATION WATCH: Money is rotating out of high-beta growth into energy and defensives. HOOD is fighting that macro headwind but holding up better than the Nasdaq, which tells me the company-specific story (upgrades, tokenization) is providing a floor.

RELATED PLAY: If you believe the tokenization thesis, Coinbase (COIN) is the obvious pair trade — they're building the same rails on the institutional side. CME Group also benefits from any crypto derivatives expansion.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly policy wave and tokenization narrative — direct comp for HOOD.
- IBKR (Interactive Brokers): Benefiting from options and futures volume growth, similar product expansion story but at a cheaper multiple.

HOOD CONTEXT: HOOD is leading the retail broker peer group on growth but lagging on today's tape because it's higher-beta than IBKR or SCHW. That's normal — HOOD moves 2-3x the sector in both directions, so days like today (mild red) actually show relative strength.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the product expansion story and the policy backdrop, but the valuation demands everything goes right.

POSITION SIZE: 2-4% of portfolio — real upside but this thing can drop 20% in a week if crypto rolls, so don't oversize.

ENTRY POINTS: \$95-100 on any macro pullback is where I'd add aggressively; chasing above \$110 into earnings feels risky.

TIME HORIZON: 12-24 months — you're waiting for tokenization to move from pilot to real revenue, and for crypto legislation to actually pass.

WHEN TO BAIL: If crypto trading revenue drops 30%+ QoQ, if the SEC restricts PFOF, or if we get a management shake-up. Any of those breaks the thesis.

HEDGING: Simplest way — pair with a boring dividend stock (utility or staple) that goes up when growth stocks get hit. Or buy a cheap put a few months out as insurance against a crypto crash.